

Castle Hayne Jane's Family Farm



Business Plan 2024

Executive Summary

Located near Wilmington, in the vibrant heart of Southeastern North Carolina, Castle Hayne Jane's Family Farm is strategically positioned amidst a bustling area known for its beach and ocean tourism, thriving retirement community, vibrant restaurant scene, esteemed university, renowned historic sites, and a leading regional medical center. Operating under the structure of a Limited Liability Company (LLC), we ensure top-notch liability protection and operational flexibility. Our farm is deeply committed to fostering community well-being and happiness, dedicating ourselves to providing the region with superior, organic, and locally grown produce and nursery trees. By prioritizing sustainable agricultural methods, we aim not only to nurture the land we farm but also to contribute meaningfully to the local culture and economy. This commitment extends to organizing distinctive rural-themed celebrations, offering volunteer opportunities, and conducting educational farm tours. As we pursue our vision to emerge as a premier provider of small batch organic products in the region, Castle Hayne Jane's Family Farm aspires to be more than just a niche organic farm; we aim to be a foundational pillar of the community, embodying and spreading joy, health, and sustainability in every facet of our operations.

Business Name: Castle Hayne Jane's Family Farm

Location: Southeastern North Carolina (Wilmington Area)

Business Structure: The farm will operate as a Limited Liability Company (LLC) to provide liability protection and flexibility.

Mission Statement: Our farm nourishes and inspires Southeastern North Carolina by offering the finest organic produce and nursery trees, grown right in our local soil. We are dedicated to advancing sustainable farming practices that enrich our land and community's well-being. Beyond nurturing the earth, we aim to cultivate joy and celebrate life through enchanting rural-themed events that connect us all to the simple pleasures of nature.

Vision: To be the region's stand-out source of organic treasures, enriching the local economy and weaving our farm's produce, vibrant events, and educational tours into the fabric of our community's culture. We aim to transform every visit and every product into an experience that celebrates the richness of the land and fosters a deeper connection with nature.



Plan of Activities and Milestones (Narrative)

Building a Sustainable Legacy on the Cape Fear River

We are transforming our cherished family land into a vibrant, sustainable farm, to produce the best of a rich tapestry of organic orchard fruits, greenhouse vegetables, berries, herbs, and both nursery and medicinal plants. Our vision encompasses more than agriculture; we aspire to create a gathering place for the community, celebrating rural life and culture through festivals, music, and traditional dance.

Honoring Our Heritage

Situated on Old Bridge Site Road, this farm has been a cornerstone of our family's history, evolving from its tobacco-farming days into a space where memories and traditions converge. The transformation of a tobacco barn into a cozy apartment for family stays and the preservation of our grandmother's house as our homestead reflect our commitment to our heritage. Castle Hayne, with its mosaic of Eastern European settlers and our own blend of English, German, French-Norman, Scots-Irish, and Lumbee Indian ancestry, stands as a testament to the American melting pot. Through our farming endeavors, we aim to honor and perpetuate the cultural traditions that have flourished here.

Short-Term Goals: Laying the Foundations

As we embark on this journey in Winter/Spring 2024, our immediate focus is on establishing the orchard, erecting a pole barn and greenhouse, and setting up an irrigation system. The following months will see us enhancing the property, preparing

for a vineyard, nursery spaces, and other agricultural ventures. By Summer's end, we anticipate initiating sales to local businesses and markets, setting the stage for a sustainable and profitable future.

Medium-Term Vision: Growth and Community Engagement

With the orchards maturing over the next five years, we expect a fruitful return on our investment. Our plans include exploring the possibility of a Community Supported Agriculture (CSA) program, enhancing our vineyard infrastructure, and diversifying our income through agritourism and special events. Our passion for Old Time Music and traditional dances will also take center stage as we introduce festivals and gatherings that celebrate our cultural heritage. Additionally, we're looking towards sustainability with the addition of more solar power within the next few years, doubling, then tripling our current bank of thirty panels and adding battery storage.

Long-Term Aspirations: A Legacy of Prosperity and Connection

Over the decade, we will identify our most successful and fulfilling crops, solidifying the farm's role as a cornerstone of family and community legacy. Our long-term vision is to see the farm not only as a source of organic produce but as a beacon of community spirit, heritage, and environmental stewardship for generations to come.

Market Analysis

“Organic food sales in the United States in 2022 broke through \$60 billion for the first time, hitting another high-level mark for the resilient organic sector. Total organic sales – including organic non-food products, were a record \$67.6 billion, according to the 2023 Organic Industry Survey released Wednesday by the Organic Trade Association. The organic market grew despite challenging headwinds: inflation pressures tightening consumer wallets, supply chain disruptions caused by the pandemic and global political events, a proliferation of competing food labels in the grocery aisles and a labor shortage felt acutely by organic producers. Inflation heated up costs across the organic supply chain – indeed, the entire food supply chain – and boosted prices in the grocery aisles. As a result, the organic sector reflected the overall food sector, with the value of organic sales rising even as the growth in the volume of sales for some categories slipped.”

—Organic Trade Association 2023 Industry Survey

<https://ota.com/market-analysis/organic-industry-survey/organic-industry-survey>

Industry Overview: In 2022, U.S. organic food sales surpassed \$60 billion for the first time, reaching a total of \$67.6 billion including non-food products, as reported by the Organic Trade Association's 2023 survey. This growth occurred despite significant challenges such as inflation, supply chain disruptions, competition from other food labels, and a labor shortage. The organic sector mirrored the broader food industry, experiencing an increase in sales value even as the volume growth in some categories declined.

Target Markets: Off site, our strategy targets partnerships with small farm and organic food distributors in North Carolina, such as Happy Dirt (<https://www.happydirt.com>), and aims to make our products available at local farmers markets in Wrightsville Beach (<https://www.townofwrightsvillebeach.com/183/Farmers-Market>) and downtown Wilmington, NC (<https://www.riverfrontfarmersmarket.org>). Additionally, we plan to collaborate with organic grocery stores like Tidal Creek (<https://www.tidalcreek.coop>), as well as restaurants and catering services in the area.

Agritourism: On site, with the planned enhancements to our farm, we look forward to hosting various events, including business, spiritual, and life celebrations, music festivals, and traditional dance events, providing a unique opportunity to sell our produce, plants, and other farm products directly on-site, and enhance revenues through rentals and events ticket sales.

Our audience of local residents, restaurants, businesses, regional buyers, and farmers market enthusiasts, along with visitors keen on exploring agricultural tourism, in search of organic and locally sourced food, and joyous experiences, will find unique fulfillment at Castle Hayne Jane's Family Farm.

Competition: Other local farms, commercial nurseries, and imported produce. Differentiation will be achieved through quality, variety, and the unique experiences offered by the farm.

Marketing Strategy

Branding: Our branding focuses on the heart of this effort: our commitment to organic, local, and sustainable farming. We're not just selling products; we're inviting our customers into a lifestyle that values health, the environment, and the local economy. By using storytelling in our branding, we'll share the journey of our produce—from the seedlings nurtured in our fields to the vibrant markets and tables they grace. Our logo, packaging, and online presence will feature earthy tones and imagery that reflect the natural beauty of our farm, alongside messages that highlight the care, tradition, and

innovation behind our farming practices. Special attention will be given to creating engaging content that educates our audience on the importance of organic farming, with behind-the-scenes looks at our operations and the tangible benefits of choosing locally sourced food.

Sales Strategy: To bring our products to the market, we plan a dynamic sales approach. At local farmers markets, we'll not only sell our fresh produce but also host live cooking demonstrations to show the versatility of our offerings. Collaborating with local restaurants, we aim to become their preferred supplier of organic ingredients, enhancing their menu with the quality and story of our produce. Our online marketing will spotlight agricultural tourism, offering virtual farm tours and promoting on-site events that invite visitors to experience farm life. Additionally, we'll actively pursue partnerships with regional buying agencies to expand our reach, utilizing targeted online campaigns to highlight our unique value proposition to these buyers.

Promotion: Promotion will be key to connecting with our community and beyond. We'll leverage social media platforms to share daily farm life, customer testimonials, and the journey of our products from farm to fork, creating a narrative that resonates with eco-conscious consumers. Local media outlets will feature stories on our sustainable practices and community contributions, increasing our visibility. To kick off our grand opening, we plan a festival that celebrates local culture, food, and music, inviting the community to explore the farm, meet our team, and enjoy our produce. This event will serve as a cornerstone for our promotional efforts, creating buzz and fostering a sense of community around our brand.

Operations Plan

Location: The layout of the 26-acre farm consists of areas set aside for residences, with specific acreage dedicated to each crop and the location of greenhouses, nursery areas, and land set aside for hosting guests and additional solar power panels (Fig. 1). We're on the Northeast Cape Fear River across from a public park, a great location to supplement the hosting of campers, guests and festivals.



Figure 1, Farm Space Layout (General Areas)

Land Clearing: We will environmentally clear some of the land, creating mulch from the removed wood with machinery and using the Hugel technique, a sustainable method of clearing that keeps soil healthy.

Facilities: We possess two livable structures and a barn on site now and are constructing greenhouses for plants and pole barns for covering and storage harvesting and production equipment.

Production Plan: We plan to undertake seasonal planting and harvesting schedules, organic certification processes, and sustainable farming practices, and host events.

Suppliers: Leveraging our family's longstanding presence in the plant nursery and landscaping sectors, we have established extensive connections with a wide array of local suppliers. These partnerships enable us to source high-quality seedlings, truffle host root inoculations, and juvenile plants vital for our organic farming operations. Additionally, we maintain relationships with both bulk and specialty suppliers for seeds, plants, and organic fertilizers, ensuring we can meet the diverse needs of our farm with the best possible inputs.

Equipment: Our farm is well-equipped with essential machinery, including a Telehandler CAT TH-60, Massey Ferguson tractors (models 461 and 231), a John Deere 310D backhoe, and an Isuzu dump truck, all supported by a variety of attachments and implements for comprehensive field operations. To further our commitment to sustainability and efficiency, we are in the market for a used Royer 120 or similar equipment to facilitate in-house mulch production. Additionally, we are planning to invest in refurbishing our existing machinery, including engine overhauls, system flushes, and the replacement of hydraulic hoses, to ensure optimal performance and extend the lifespan of our equipment.

Human Capital & Know-How: Jane Lewis and Tucker Hill have lived on the farm for 20 years since tying the knot, raising a beautiful family of five, a host of furry pets and chickens, growing vegetables in a large garden, and organizing annual camping and musical event gatherings known as The Wisteria Festival and The Fall. Jane recently earned AirBnB SuperHost as manager of five units on family property. Tucker operated the family business for over a decade, plays in Jazz ensembles, and currently leads The Clams, a local favorite rock music band, and The Possums, a popular Grateful Dead cover band. Marcus Skye Lewis, Jane's brother, shares our agricultural roots and brings a wealth of experience, having led diverse projects from sophisticated software development to construction builds. A 2016 tenure at an organic winery and agritourism space in California inspires many of his ideas for agritourism. Marcus, an Army veteran, maintains a steadfast commitment to turning visions into reality, stepping into the role of operations leader with service-inspired determination. Marcus's partner, Jessica Nichols, a key advisor, is an organic foods certifier for the nation's oldest and largest organics certification organization, CCOF, and studied graduate ecological horticulture at UC Santa Cruz. We have registered the farm with a volunteer organization, WWOOF (<http://wwoofusa.org/>), that provides workers who want experience on an organic farm access to farms like ours in exchange for room and board; we have already successfully hosted WWOOFers during our start up phase.

Financial Plan

Startup Costs: Our financial strategy encompasses a comprehensive array of initial investments: land preparation, planting, greenhouse construction, irrigation setup, securing organic certification, and launching our marketing efforts. Although we possess the necessary equipment, refurbishing it, along with acquiring a heavy-duty mulcher, is crucial to enhance our sustainable Hugelkultur practices. Beyond equipment upgrades, we aim to renovate the grounds, main residence, and auxiliary housing,

improving aesthetics and guest capacity. To ensure these enhancements are smoothly implemented, we're **seeking a flexible line of credit of \$70,000**, to supplement **start up infrastructure costs of \$53,931** for farming endeavors (Items 1,2,4,5), and **\$124,763** for all agritourism endeavors (Item 3). This will not only support beautification and infrastructure upgrades, including essential electrical work, but also enable us to hire project leaders and day-workers to complete development stages, ensuring we navigate towards profitability successfully.

Start Up Costs Table (\$178,694.00)

Season	Item	Cost	Payment Source
Winter 23/24	1. Build out & prepare farm, greenhouse, pole barns	\$35,462*	Sweat equity, Rental income, grants
Spring 24	2. Fix tractors, buy seedlings for orchards, greenhouse	\$10,656	Sweat equity, Rental income, grants
Summer 24	3. Build out homes, RV camp, stages, grounds	\$124,763	Line of Credit , Sweat equity, Rental income
Fall 24	4. First sales & marketing, fall harvest	\$1,003	Sweat equity, Rental income
Winter 24/25	5. Grape vine trellises, additional grounds improvement	\$6,901	Sweat equity, Rental income, Farm income

*Includes new poured concrete for barns, materials for greenhouse

Operating Costs: Ongoing costs include seeds, plants, organic fertilizers, labor, water, marketing, and maintenance of equipment and facilities, harvest and transportation costs, electricity and other utilities. Estimate \$9,647 per year for taxes and utilities, \$4,596 maintenance, fuel & fertilizer, \$4,349 harvest and sales / marketing, and \$41,359 per year hired labor 1x superintendent / groundskeeper, \$5,584 ad hoc labor, \$17,501 for maintaining the desired LOC, total operating costs should be less than \$66,131 per year, and progress according to needs of continued labor inputs, and additional harvesting costs (full time hires & winery). The addition of volunteer labor will help reduce our labor costs and need for ad-hoc hires.

Continuing Operation Costs Table (\$78,687)

Season	Item	Cost	Payment Source
Yearly	Taxes, Insurance, Utilities	\$9,647	Sweat equity, Rental income, Farm income
Yearly	Full time and Ad Hoc Labor	\$46,943	Sweat equity, Rental income, Farm income
Yearly	Maintenance, Fuel, Fertilizer	\$4,596	Sweat equity, Rental income, Farm income
Yearly	LOC repayments	\$17,501	Rental income, Farm income

Revenue Streams: Sales of produce, nursery trees, events hosting, agritourism activities, grants for sustainable farming practices.

Time to profitability: We can be profitable in **one to three years** if we are able to open the RV camp site and host a few paid festivals and events early on, given the revenue

potential of these opportunities. The main expenses involve improving the site so hosted agritourism is feasible. Outside of the significant events hosting potential, nursery trees, greenhouse plants, vineyards, and orchard plantings should sustainably produce profits in two to three years. The below snapshot provides an optimistic yet realistic assessment of revenue potential for our business. The farm, properly transformed, could do very well with hard work and focused efforts.

Profitability: Snapshot Prospectus of Yearly Revenue Potential (~\$748,565.00)

Product	Amount	Revenue Potential	Source	Sales Channels
Loblolly Pine Truffles	2 acres	\$60,000/ac/yr	Carolina Truffières	Regional Purchasers, Farmers Markets
Peaches	1 acres	\$6,481/ac/yr	USDA	Regional Purchasers, Farmers Markets
Figs	2 acres	\$23,500/ac/yr	Daisy Creek	Regional Purchasers, Farmers Markets
Produce, Vegetables, Exotic Plants	4 gr hse	\$10,898/hse/yr	U. Tennessee	Farmers Markets, Over the Counter Sales
Nursery Plants	2 acres	\$59,400/ac/yr	NCSU	Local Retails Nurseries, OTC Sales
Straw, Rasp & Blackberries	1 acre	\$31,020/ac/yr	USDA	Pick your own, Farmers Markets, OTC Sales
Vineyards	1.5 acres	\$36,500/ac/yr	Wine Spectator	Tours, OTC Sales, Farmers Markets
Hosted Events & Ag Tourism	3 acres	\$176,000/yr	USDA, Financial Model Templates	Event Booking Agencies, Celebration Planners, Educational, Spiritual, Senior & Youth Organizations
RV Park / Camping	3 acres	\$194,686/yr	CRR Hospitality	Rental Advertisements, AirBnB

Primary Source: <https://www.ers.usda.gov/data-products/fruit-and-tree-nuts-data/data-by-commodity/>

Other Sources: <https://permacultureapprentice.com/how-to-make-a-living-from-a-1-5-acre-market-garden/> , <https://www.fortunebusinessinsights.com/agritourism-market-103297> , <https://musically.com/2022/06/20/viberate-report-analyses-the-2022-season-of-music-festivals/> , <https://horticulture.ces.ncsu.edu> , <https://horticulture.ces.ncsu.edu/horticulture-small-fruits/>

Conclusion

The flourishing of Castle Hayne Jane's Farm is woven from the threads of meticulous planning, dynamic marketing strategies, and streamlined operations. It blossoms through the continuous nurturing of market insights and the agile adaptation of our business strategy to the ever-changing landscape. At the heart of our journey lies the deep connection we foster with local communities, cultivating enduring bonds with customers and suppliers alike, laying the foundation for a business that is not only sustainable but thrives. Within our grasp lies a golden opportunity, enriched by our unique amalgamation of expertise and resources, promising a vibrant tapestry of growth and prosperity for our future.